

Where Did the Money Go? The Abraaj Group Scandal

The Future of Impact Private Equity

Abraaj Group was a Dubai based private equity firm focused on emerging markets. It built its reputation around a simple proposition that institutional capital could be deployed at scale in markets that many traditional fund managers viewed as too complex and too difficult to underwrite. Arif Naqvi appeared at Davos, co-chaired sessions with heads of state, and built a public profile that few fund managers could match. At its peak, the firm managed more than USD 13 billion across Africa, Asia, Latin America, and the Middle East.

The firm's healthcare fund drew particular attention because it combined private equity, development finance, and a clear social mission. The USD 1 billion vehicle targeted hospitals, clinics, and diagnostic centers in underserved markets. Its investor base included the Bill & Melinda Gates Foundation, OPIC, PROPARCO, and IFC. The fund stated that it supported access to care for roughly two million patients each year. On paper, it was the kind of strategy that fit neatly into the rise of impact investing

That made the later collapse more difficult to read from the outside. Abraaj did not look like a marginal manager operating away from scrutiny. It had recognizable investors, a strong public narrative, and a founder who moved comfortably among global policy and finance circles. The firm appeared mission driven, institutionally endorsed, globally connected, and active in markets with real demand for capital.

The scandal emerged when investors began questioning what had happened to money committed to Abraaj's healthcare fund. Capital that had been called from investors was not deployed into healthcare investments as expected, leading to concerns about the location and use of the funds. Investigations and regulatory reviews later alleged that investor money had been mixed with corporate accounts, used to meet the manager's liquidity needs, and reported in ways that did not accurately reflect cash balances. As scrutiny increased, questions arose about who controlled cash, how fund movements were monitored, whether independent oversight existed, and what evidence investors received regarding the handling of their capital.

The Question That Broke Confidence

Abraaj's collapse began with a basic question from investors: where was the healthcare fund's money?

Investors had committed capital to a USD 1 billion healthcare fund that was supposed to build and support hospitals, clinics, and diagnostic centers in underserved markets. The fund had a strong public mission and a respected investor base, including development finance institutions and major philanthropic capital. From the outside, the strategy looked credible. The problem emerged when capital that had been called from investors was not deployed into healthcare assets as expected.

When investors asked for answers, the explanations did not resolve the concern. They wanted to know where the money sat, why it had not moved into the investments described, and whether the reported cash balances matched actual bank records. The matter escalated from ordinary investor questioning to forensic review. Later regulatory findings and allegations described a deeper failure: investor money had been mixed with corporate funds, used to support the management company's liquidity needs, and reported in ways that did not give LPs an accurate view of the cash.

That is the point where confidence broke. Abraaj did not fail because investors missed one weak sentence in a marketing deck. It failed because the operating structure beneath the public story could no longer be trusted. The firm had a strong mission, a visible founder, global recognition, and respected institutional investors around the table. Those facts created confidence, but they did not prove how cash moved, who controlled it, or whether reporting matched bank records.

The control issues were basic. Capital calls needed to match approved investments or expenses. Fund accounts needed to remain separate from manager liquidity. Intercompany movements needed formal approval and repayment records. Distributions needed to follow the agreed waterfall. Reporting needed to reconcile back to bank statements and entity level accounts. Each control sounds ordinary. In private markets, these controls decide whether LP capital remains protected.

Fund Governance Failed as a Practical Control System

The cash question exposed a governance question. If LP capital could be called, held, moved, or reported in ways investors could not verify, then the issue was not limited to accounting records. It also concerned who had authority inside Abraaj, who could challenge that authority, and whether formal oversight bodies received enough information to act.

Effective governance protects limited partners only when authority is distributed, information flows are reliable, and escalation mechanisms work in practice. The DFSA found that Arif Naqvi was Abraaj's largest shareholder, CEO, executive vice chair, public face, and dominant figure

inside the firm. That concentration mattered because key decisions did not appear to move through a balanced internal process. Senior management ignored compliance concerns raised internally about unauthorized activity. The firm had committees, policies, and formal reporting lines, but the actual organization depended heavily on Naqvi and a small senior group around him.

The LPAC structure had the same practical limitation. It could only act on the information provided to it. If capital calls, fund expenses, intercompany movements, or exceptions were not reported clearly, the committee had little ability to intervene. Abraaj's governance problem was therefore direct: the formal structure existed, but the flow of authority and information did not give investors a reliable check on management.

Cash Controls Were the Center of the Failure

The governance weakness became most visible in cash control. Authority and reporting lines mattered because they shaped who could move LP capital, who could approve exceptions, and who could verify the result. In private markets, cash control is the boundary between investor capital and manager liquidity. At Abraaj, that boundary became one of the central issues in the collapse.

The SEC alleged that investor money was commingled with corporate funds when it should have been held separately. According to the SEC, capital that investors understood to be reserved for fund investments was used for working capital. The DFSA also found that investor monies were used to cover operating expenses and cash shortfalls at the management company level. AIML borrowed before reporting dates to show bank balances that would satisfy LP expectations, then repaid those balances after the relevant dates passed.

The problem turned on basic cash mechanics. Fund accounts, manager accounts, administrator access, and bank statement delivery all mattered. If LP capital and manager operating cash were not clearly separated, and if the administrator did not receive statements directly from the bank, investors had limited ability to verify where the money was.

Intercompany transfers required the same discipline. Loans or advances between a fund entity and the management company should have formal approval, documented terms, and a visible repayment history. At Abraaj, those boundaries became unclear. When transfers occur informally, or when repayment depends on future asset sales, LP capital can become a source of manager liquidity without clear investor visibility.

Exit proceeds raised the same control issue. Proceeds should move through the waterfall and return to LPs without unexplained delays or diversions. The administrator should receive bank records directly from the bank, rather than relying on copies provided by the manager. Cash movement should also require dual authorization and clear segregation of duties.

These were basic private market controls. Abraaj's cash process did not give investors a reliable way to verify where capital sat, why it moved, or who had approved the movement. The failure was therefore not limited to missing records. It reflected a structure where cash movement, reporting, and oversight did not operate as separate checks on one another.

LP Reporting Did Not Close the Verification Gap

The issue of Abraaj's report was that they described positions without proving the cash behind them. The DFSA found that AIML gave investors misleading financial information, made false statements about how money was being used, deflected requests for updated bank statements, and gave false explanations for delayed distributions. Those findings mattered because the disputed facts were not abstract portfolio judgments. They concerned basic cash movements: where investor money sat, when it moved, why it moved, and whether the movement matched what LPs had been told.

A PwC review later found that standalone annual financial statements and standalone monthly management accounts could not be obtained for the relevant entities. That point goes to the center of the reporting problem. Without entity level accounts, bank records, and reconciliations, investors could not trace capital from the call notice to the fund account, from the fund account to the investment or expense, and from exits back through the distribution process. Reporting may describe portfolio activity, but cash control requires evidence at the transaction level.

The gap became visible when investors asked for updated bank statements and did not receive answers that resolved the concern. At that stage, ordinary reporting had stopped doing its job. LPs needed records that tied capital calls, bank accounts, investments, expenses, intercompany transfers, and distributions together. Portfolio updates did not answer that question. When investors hired a forensic accountant, they were asking for a cash trail.

Valuation and Track Record Oversight Needed Independent Challenge

Abraaj was raising successor capital on the strength of its prior record. In that setting, valuation was tied directly to fundraising. Unrealized marks shaped reported performance, and reported performance shaped what new investors were being asked to believe.

The SEC alleged that a senior executive approved valuations he knew were inflated while resisting attempts by others to mark them down. The SEC also alleged that potential investors were misled about the firm's financial health and its materially overstated track record. The issue was therefore larger than a technical disagreement over portfolio marks. The marks helped support the story Abraaj used in the market.

Private equity performance can look very different depending on how much of the record comes from realized exits and how much depends on unrealized carrying values. Inflated marks can improve reported IRRs and multiples, especially when assets have not yet been sold. They can also make a manager appear more consistent, more liquid, and more successful than the cash evidence supports. For a firm raising another fund, that difference matters.

The basic questions were practical. Who sat on the valuation committee, and who had independence from the deal team and fundraising team? Who could override a valuation decision? How did fundraising materials separate gross, net, realized, and unrealized performance? Abraaj's case shows why valuation controls matter most when a manager is using its record to raise the next pool of capital.

Key Person Risk Became Control Risk

Key person risk usually starts with succession. At Abraaj, the larger issue was control.

The DFSA found that Arif Naqvi was the ultimate decision maker at the firm. He was centrally involved in directing the use of investor monies, approving statements to investors that the regulator later described as misleading, and managing the firm's responses when LPs pressed for answers. His influence extended across fundraising, investor communications, cash decisions, and the handling of exceptions. That combination left little room for independent challenge inside the organization.

The problem was not only that one person mattered too much to the franchise. It was that the same person sat close to the areas that should have been checked independently. If senior compliance concerns, disputed cash movements, and investor questions all move through the same authority structure, the escalation process becomes weak by design. A control function cannot operate effectively when it depends on the judgment or permission of the person it may need to challenge.

Abraaj shows why key person review should go beyond replacement planning. The practical question is whether the firm can surface and escalate a serious problem involving senior leadership. In Abraaj's case, authority concentration made that difficult. The structure relied heavily on personal trust, and personal trust gave LPs little protection once the cash questions began.

What Proper ODD Would Have Prevented

Standard key person review usually starts with succession. Abraaj shows a more basic control question of how much of the fund's operation depended on trust in a small group of people rather than verifiable process.

The practical questions were straightforward. Each capital call should have matched an approved investment or fund expense. Fund bank accounts should have remained separate from management company accounts. The administrator should have received bank statements directly from the bank. Intercompany transfers should have carried formal approval, documented terms, and clear reporting to the LPAC.

The same applied to expenses, distributions, and valuations. Fund expenses needed approval under documented authority. Distributions needed a reconciliation showing that exit proceeds moved through the waterfall and reached LPs on schedule. Unrealized marks needed current support that could be checked outside the manager's own narrative. Audit work also needed scrutiny, including what the auditor tested, what records it received, and what sat outside the scope. If an LP needed to verify cash balances on a given date, the fund should have been able to produce direct bank evidence, administrator records, capital call support, and transaction level reconciliations. In Abraaj's case, the answers became incomplete, delayed, and disputed. That was the signal.

What LPs Should Learn

Abraaj did not collapse because investors missed a red flag in a marketing deck. It collapsed because investors could not rely on the operating structure underneath the manager's story. Reputation, mission, and a roster of institutional co-investors are not substitutes for verification.

Private market due diligence must go beyond what a manager says and test whether those statements can be independently confirmed. Capital calls, fund expenses, valuations, distributions, and intercompany movements need to be controlled, documented, and reviewable by someone other than the manager. That is the role of serious ODD: asking the structural questions before capital moves, before confidence breaks, and before the only remaining option is a forensic review.